



Figure 12.5 This ascending broadening wedge trade led to an 87% gain.

This is one of those fire-and-forget-type trades where you just sit back and count your winnings. Price took a week or so to gather strength before it started to move up after I bought. It retraced a portion of the move and bottomed at F, but after that, it was a smooth ride to the stars.

Fast forward to January 2014. The stock peaked a nickel below 69 and retraced. The spike down at G was because of earnings. Apparently, the market didn't like the news but recovered to close the session just 6 cents below the high.

That was my wakeup call. On 12 February, I wrote this in my trading notebook: "I sold the rest of my shares this morning. The stock has broken down through a support area at 64, and it's trading at 63.42 now. On the weekly scale, this is a 2B pattern. It LOOKS as if it's going to tumble, and since it's above my target price of 56, I did well. Selling on 2B, weakness."

A 2B pattern isn't covered in this book, and looking at the weekly scale, it's not a 2B pattern at all. A 2B happens when price moves above a prior peak and then poops out. The stock reverses and moves lower. Think of a narrow double top with a slightly higher right peak and you'll know what a 2B looks like.